THE COMMERCIAL DISPUTES FACILITATION ACT, 2024

ACT NO. 18 OF 2024

[26th July, 2024.]

An Act to provide for the speedy facilitation and resolution of commercial disputes, for the establishment of facilitation centres and for matters connected therewith or incidental thereto.

BE it enacted by Parliament in the Seventy-fifth Year of the Republic of India as follows:—

CHAPTER I
PRELIMINARY

1. Short title, extent and commencement.—
   (1) This Act may be called the Commercial Disputes Facilitation Act, 2024.
   (2) It extends to the whole of India.
   (3) It shall come into force on such date as the Central Government may, by notification in the Official Gazette, appoint, and different dates may be appointed for different provisions of this Act.

2. Definitions.—In this Act, unless the context otherwise requires,—
   (a) 'commercial dispute' means a dispute arising out of a transaction of a commercial nature as specified in the Schedule;
   (b) 'facilitation centre' means a centre established under section 4;
   (c) 'facilitator' means a person appointed under section 6;
   (d) 'prescribed' means prescribed by rules made under this Act.

CHAPTER II
FACILITATION CENTRES

3. Reference of disputes.—Every commercial dispute of a value not exceeding one crore rupees shall, before institution of a suit, be referred to a facilitation centre in the prescribed manner.

4. Establishment of facilitation centres.—The State Government shall, by notification, establish one or more facilitation centres for each district.

5. Period for facilitation.—The facilitation shall be completed within a period of ninety days from the date of reference, which may be extended by a further period of thirty days with the consent of the parties.

22. Power to make rules.—The Central Government may, by notification in the Official Gazette, make rules for carrying out the provisions of this Act.